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Case Number: 26SMCV03280 Hearing Date: August 25, 2026 Dept: P

Tentative

Ruling

Kenneth

Dean Winkler, et al. v. Beverly Hills Properties, Inc., Case No. 26SMCV03280

Defendants'

Motion to Compel Arbitration

Hearing

Date: August 25, 2026

Background

Plaintiffs

Kenneth Dean Winkler and Nancy Benson Nason sue Defendant Beverly Hills Properties for negligence, breach of the implied warranty of habitability, breach of the covenant of quiet enjoyment, constructive eviction, elder abuse, intentional infliction of emotional distress (IIED), negligent infliction of emotional distress (NIED), and violations of the Los Angeles Rent Stabilization Ordinance. Winkler and Nason allege that they are elderly tenants living at 3121 S. Barrington Avenue, Unit 6, Los Angeles, California. (Complaint, ¶¶1-2.) Plaintiffs allege that they were forced to vacate the unit on February 3, 2026, due to mold and other habitability issues. (Id. at ¶ 6.) They contend that Beverly Hills Properties has failed to pay their reimbursement claims and have provided no definitive date upon which the unit will be suitable for re-occupancy. (Id. at ¶¶ 11-13.)

On June

15, 2026, Winkler and Nason filed the complaint.

On July 2,

2026, Winkler and Nason filed a motion for trial preference. On July 22, 2026, Beverly Hills Properties filed opposition to the motion for trial preference.

On July 9,

2026, Beverly Hills Properties filed a motion to compel arbitration. On July 23, 2026, Winkler and Nason filed opposition to the motion to compel arbitration. On July 28, 2026, Beverly Hills Properties filed a reply.

On August

4, 2026, the Court heard argument on this motion and requested supplemental briefing on the definition of "personal injury" under the lease and plaintiffs' unconscionability defense.

On August

10, 2026, Beverly Hills Properties filed a supplemental brief. On August 17, 2026, Winkler and Nason filed a supplemental brief.

Motion

to Compel Arbitration

Request

for judicial notice

Beverly

Hills Properties requests judicial notice of Judge Makenzie's ruling on Beverly Hills Properties' Motion to Compel Arbitration in LASC Case No. 25STCV38275.

Notice is

GRANTED.

Arguments

Beverly

Hills Properties argues that Winkler and Nason's lease contains an arbitration provision subjecting this suit to arbitration. (Motion to Compel Arbitration, pp. 6-7.) Beverly Hills Properties argues that the majority of Winkler and

Nason's claims are negligence and habitability claims covered by the arbitration agreement. (Id. at pp. 7-8.) Beverly Hills Properties argues that the arbitration agreement should be presumed enforceable because they have proven its existence and application in this case, and that there are no grounds to revoke the agreement because the FAA pre-empts California law, including Civ. Code § 1953. (Id. at p. 14.)

In opposition, Winkler and Nason argue that the arbitration clause in the lease is expressly limited by its language to personal injury claims and therefore does not require arbitration of Winkler and Nason's claims arising from property damage, constructive eviction, and relocation. (Opposition, p. 2.) Winkler and Nason argue that Beverly Hills Properties reverses the grammatical structure of the arbitration agreement to apply it to habitability disputes where it is really restricted to personal injury claims. (Id. at p. 7.) Winkler and Nason argue that Civil Code § 1953 provides that a provision of a residential lease that modifies or waives a tenant's rights in litigation is void as contrary to public policy, and that California Courts have routinely applied that principle to arbitration clauses invoking the FAA. (Id. at p. 10.) Winkler and Nason then argue that even if the FAA preempts § 1953, it does not expand the arbitration agreement beyond the scope of the lease and apply it to non-personal injury claims. (Id. at p. 11.) Winkler and Nason argue that the arbitration agreement is unconscionable because it is an adhesion agreement and ask that, if the Court does grant the motion, it not compel the non-personal injury claims or stay the action. (Id. at p. 13.)

In reply, Beverly Hills Properties argues that Winkler and Nason do not dispute that their first cause of action falls under the arbitration provision in the lease agreement and argues that the arbitration provision is broad enough to encompass all Winkler and Nason's claims because it applies to "any claims," and includes claims arising from alleged breaches of the implied warranty of habitability. (Reply, p. 3.) Beverly Hills Properties then argues that the FAA applies and preempts the Court of Appeal's decision in *Jaramillo v. JH Real Estate Partners, Inc.* (Id. at p. 4-5.) Beverly Hills Properties argues that Winkler and Nason do not meet their burden of demonstrating that the arbitration provision does not cover the claims at issue. (Id. at p. 7.) Beverly Hills Properties argues that the arbitration agreement is not unconscionable. (Id. at p. 9.)

In their

supplemental brief, Beverly Hills Properties argues that a claim is a personal injury claim when it seeks compensation for mental or physical well-being impairment under *Backlund v. Stone* (2025) 115 Cal.App.5th 580. (Beverly Hills Properties Supplemental Brief, p. 4.) Beverly Hills Properties argues that any Winkler and Nason's claims are all for personal injuries because they seek emotional distress damages. (Id. at p. 7.) Beverly Hills Properties argues that Winkler and Nason have not met their burden of showing that the claims fall outside of the arbitration agreement or are unconscionable. (Id. at pp. 8-10.)

In their

supplemental brief, Winkler and Nason argue that Beverly Hills' Properties' authority defining personal injury does not define personal injury in the context of an arbitration agreement. (Winkler and Nason Supplemental Brief, p. 9.) Winkler and Nason argue that in a residential lease, property claims can include claims for emotional distress under *Stoiber v. Honeychuck* (1980) 101 Cal.App.3d 903. (Id. at p. 10.) Winkler and Nason argue that Beverly Hills Properties is treating the "hazardous substances" clause in the arbitration agreement as interchangeable with mold. (Id. at p. 12.) Winkler and Nason argue that this case is not distinguishable from *Jaramillo*, and that the clause is unconscionable. (Id. at p. 13.)

Governing

Law- Motion to Compel Arbitration

"On

petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate a controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists . . ."

(Code Civ. Proc., § 1281.2) "The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability." (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.)

Discussion

a.

Existence

of an arbitration agreement

Winkler

and Nason do not dispute the existence of the arbitration agreement or that they signed it. Beverly Hills Properties submits the lease agreement, initialed below the arbitration clause by Winkler and Nason, which contains the following arbitration clause:

Arbitration

of Personal Injury Disputes.

Any claims for personal injuries, directly or indirectly relating to or arising out of the condition of the leased premises, including without limitation the existence of a hazardous substance in, on, or about the building, the leased premises, or both, whether based on the theory of negligence, strict liability, breach of LANDLORD's warrant of habitability, or any other theory, shall be submitted to and decided by binding arbitration. Such arbitration shall be held in the city and state where the premises are located in accordance with the American Arbitration Association rules for a single arbitrator. The arbitrator's award shall be enforceable in any court of competent jurisdiction. Nothing in this section shall be deemed to limit LANDLORD's rights in the event of TENANT's breach or default under this agreement, including without limitation LANDLORD's rights to bring an action for unlawful detainer under the laws of the state where the premises are located.

(Umanzor

Decl., Exhibit 1, ¶ 36.)

In

deciding whether to compel arbitration, judges identify the controversy and then decide whether it is within the scope of the arbitration provisions. (Titolo v. Cano (2007) 157 Cal.App.4th 310, 316.)

“Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration.

The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute.” (California Correctional Peace Officers Ass'n v. State (2006) 142 Cal.App.4th 198, 205.)

Though Winkler

and Nason's complaint primarily alleges property damage, financial harm and harm to personal property, it also claims personal injury damages because Winkler and Nason claim emotional distress arising from the property damage.

(See Complaint, ¶¶ 38-40 [out-of-pocket

expenses for storage and protective equipment during remediation, contaminated personal property; loss of furniture, antiques, books, etc.]; Complaint, ¶ 43C,

45.) California law adopts an expansive definition of personal injury claims. (*Backlund v. Stone* (2025) 115 Cal.App.5th 580, 590, adopting *O'Hara v Storer*

Communications, Inc. (1991) 231 Cal.App.3d 1101, 1118's definition ["An injury is personal when it impairs the well-being or the mental or physical health of the victim. . . . In contrast,

an injury is not personal when inflicted on property. Therefore, interest on the award for annoyance and discomfort is recoverable"].) These cases are not about residential lease agreements, but they provide a generally-accepted definition of personal injury that would generally apply to a contract invoking the term, such as this one. Winkler and Nason's authority also does not hold that emotional distress damages are a type of property damages in habitability cases, it holds that emotional distress damages are recoverable in tort claims arising out of habitability issues. (*Stoiber v. Honeychuck* (1980) 101 Cal.App.3d 903, 918-919.) This holding actually supports finding a distinction between a claim for property damages and Winkler and Nason's claim for tort damages arising from the same habitability issues.

Since

Winkler and Nason's emotional distress claims are not limited to any single claim or cause of action, nor do they represent that they are dropping their personal injury claims, the arbitration provision applies to Winkler and Nason's whole complaint.

b.

Federal

Arbitration Act

Civ. Code

§ 1953(a)(4) "establishes the general rule that a tenant of residential premises cannot validly agree, in a residential lease agreement, to binding arbitration to resolve disputes regarding his or her rights and obligations as a tenant." (*Jaramillo v. JH Real Estate Partners, Inc.* (2003) 111 Cal.App.4th 394, 404.) Beverly

Hills Properties cites Judge Mackenzie's ruling on a similar motion to compel arbitration in *Fallah v. Sterling*, LASC Case No. 25STCV38275, finding that the FAA preempts Jaramillo, and compelling the case to arbitration. The Court ultimately agrees with Judge Mackenzie's preemption analysis. As Judge Mackenzie found:

The

FAA governs an arbitration provision in 'a contract evidencing a transaction involving commerce.' (9 U.S.C. § 2.) The phrase 'involving commerce' is 'the functional equivalent of' the phrase 'affecting commerce,' which normally 'signals Congress's intent to exercise its commerce power to the full.' (*Allied-Bruce Terminiz Cos. V. Dobson* (1995) 513 U.S. 265, 273-274 (*Allied-Bruce*).)

The FAA applies whenever a transaction in fact involves interstate commerce, regardless of whether the parties contemplated as much. (*Id.* at pp. 277-278, 281.)

The

United States Supreme Court has held that '[t]he rental of real estate is unquestionably' an activity affecting interstate commerce, explaining that 'the local rental of an apartment unit is merely an element of a much broader commercial market in renting properties,' and that the power to regulate that class of activity 'includes the power to regulate individual activity within that class.' (*Russell v. United States* (1985) 471 U.S. 858, 862 (*Russell*).) It does not matter that this particular lease, standing alone, may bear only a modest connection to interstate commerce; the FAA reaches an individual transaction within a class of activities that affects commerce in the aggregate, without any showing that the single transaction substantially affects commerce by itself. (*Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56-57.) Applying *Russell*, several federal district courts have treated the rental of residential real estate as an activity that affects interstate commerce as a matter of law and have applied the FAA to residential leases. (See *Jabour v. Hickam Communities, LLC* (D. Hawaii 2023) 749 F.Supp.3d 1112; *Cho v. Casnak LLC* (C.D. Cal. Sept. 7, 2022, No. 2:22-CV-04642-JLS-AFM) 2022 WL 16894869; *Turnipseed v. APMT, LLC* (E.D.La. Nov. 14, 2018, No. CV 18-5187) 2018 WL 5977889.) Here, the residential lease is a contract involving commerce, and the FAA applies.

(RJN, Item

1, pp. 3-4.)

The ruling
continued:

Civil

Code section 1953, subdivision (a)(4) voids as contrary to public policy any provision of a residential lease by which a tenant agrees to waive 'his procedural rights in litigation in any action involving his rights and obligations as a tenant.' As construed in *Jaramillo v. JH Real Estate Partners, Inc.* (2003) 111 Cal.App.4th 394 (*Jaramillo*), that language means that a tenant 'cannot validly agree, in a residential lease agreement, to binding arbitration to resolve disputes regarding [their] rights and obligations as a tenant.' (*Id.* at pp. 403-404; accord *Harris v. University Village Thousand Oaks CCRC LLC* (2020) 49 Cal.App.5th 847, 852 (*Harris*).) As applied to an agreement involving interstate commerce, that rule is preempted, and the agreement must be enforced. (*Conception*, supra, 563 U.S. at p. 341; *Pinnacle*, supra, 55 Cal.4th at p. 235.) The only court to have addressed the precise question has reached the same conclusion. [citation].

(*Id.*
at p. 5.)

Winkler

and Nason raise legitimate concerns the implication of FAA preemption on California's tenant-protection laws. The Court recognizes those concerns and believes that they warrant additional appellate guidance. As it stands now, however, the Court is bound by existing FAA preemption doctrine and finds that the FAA preempts Civ. Code § 1953 in this case.

Unconscionability

Winkler

and Nason have the burden of showing that the arbitration clause is both procedurally and substantively unconscionable. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Dev. (US), LLC* (2012) 55 Cal.4th 223, 236; see also *Jaramillo*, supra, 111 Cal.App.4th at 535, on the substantive unconscionability of a similar arbitration agreement, quoting *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 120 ["[A]n arbitration agreement imposed in an adhesive context lacks basic fairness and mutuality if it requires one contracting party, but not the other, to arbitrate all claims

arising out of the same transaction or occurrence or series of transactions or occurrences.”].)

Though the terms of this agreement may have certain similarities to the agreement found substantively unconscionable in Jaramillo, Winkler and Nason must still show that the agreement was procedurally unconscionable. They submitted no evidence that, in this case, the lease agreement was adhesive and sufficiently procedurally unconscionable to support an unconscionability finding.

Conclusion

Beverly

Hills Properties' motion to compel arbitration is GRANTED. This case is STAYED pending arbitration. Winkler and Nason's Motion for Trial Preference is DENIED as moot.